

BACKSTREET INNOVATIONS SDN. BHD.
Registration No.: 201801023113 (1285132-M)
(Incorporated in Malaysia)

**FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 SEPTEMBER 2021**

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 SEPTEMBER 2021

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BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT
FOR THE YEAR ENDED 30 SEPTEMBER 2021

The directors hereby submit their report together with the audited financial statements of the Company for the year ended 30 September 2021.

PRINCIPAL ACTIVITY

The principal activity of the Company is that of restaurant operations.

RESULTS

RM

Loss after tax for the year (54,250)

DIVIDENDS

No dividends have been paid or declared since the end of the previous year. The directors do not recommend that a dividend to be paid in respect of the current year.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions except as disclosed in the financial statements

SHARES AND DEBENTURES

The Company did not issue any new shares or debentures during the year.

SHARE OPTIONS

No options have been granted by the Company to any parties during the year to take up unissued shares of the Company.

No shares have been issued during the year by virtue of the exercise of any option to take up unissued shares of the Company. As of the end of the year, there were no unissued shares of the Company under options.

DIRECTORS

The directors of the Company in office at any time during the year and since the end of the year up to the date of this report are:

Kota Furuya
Kazushige Minami

DIRECTORS' BENEFITS

During and at the end of the year, no arrangements subsisted to which the Company is a party, with the object or objects of enabling directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

Since the end of the previous year, no director has received or become entitled to receive a benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by the directors shown in the financial statements or the fixed salary of a full-time employee of the Company) by reason of a contract made by the Company or a related corporation with the director or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

DIRECTORS' INTERESTS

According to the register of directors' shareholding under Section 59 of the Companies Act 2016, none of the directors in office at the end of the year had any interests in the ordinary shares of the Company and its related corporations during the year.

DIRECTORS' REMUNERATION

The amounts of the remunerations of the directors or past directors of the Company comprising remunerations received/receivable from the Company during the year are as follows:

	RM
Remunerations - other than fees	<u>110,500</u>

None of the directors or past directors of the Company have received any other benefits otherwise than in cash from the Company during the year.

No payment has been paid to or payable to any third party in respect of the services provided to the Company by the directors or past directors of the Company during the year.

INDEMNIFYING DIRECTORS, OFFICERS OR AUDITORS

No indemnities have been given or insurance premiums paid, during or since the end of the year, for any person who is or has been the director, officer or auditor of the Company.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

- (a) to ascertain that proper action has been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that there were no known bad debts and that no provision was necessary; and
- (b) to ensure that any current assets which were unlikely to be realised at their book values in the ordinary course of business have been written down to their estimated realisable values.

As of the date of this report, the directors are not aware of any circumstances:

- (a) if necessary to write off any bad debts or to make provisions for doubtful debts in respect of the financial statements of the Company; and
- (b) which would render the values attributed to current assets in the financial statements of the Company misleading; or
- (c) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Company misleading or inappropriate; or
- (d) not otherwise dealt with in this report or financial statements which would render any amount stated in the financial statements of the Company misleading.

As of the date of this report, there does not exist:

- (a) any charge on the assets of the Company which has arisen since the end of the year and secures the liability of any other person; or
- (b) any contingent liability of the Company which has arisen since the end of the year.

No contingent or other liability has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

In the opinion of the directors:

- (a) the results of the operations of the Company during the year were not substantially affected by any item, transaction or event of a material and unusual nature.
- (b) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the year and the date of this report which is likely to affect substantially the results of operations of the Company for the year in which this report is made.

HOLDING COMPANY

The holding company of the Company is Abrasus Co. Ltd., a company incorporated in Japan.

AUDITORS' REMUNERATION

Total amounts paid to or receivable by the auditors as remuneration for their services as auditors are RM8,000.

AUDITORS

The retiring auditors, Messrs. Kalis & Co, have indicated their willingness to be re-appointed.

The Board of Directors



Kota Furuya
Director



Kazushige Minami
Director

Kuala Lumpur

16 MAR 2022

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

Pursuant to Section 251 (2) of the Companies Act 2016

The directors of Backstreet Innovations Sdn. Bhd. state that, in their opinion, the accompanying financial statements of the Company are drawn up in accordance with Malaysian Private Entities Reporting Standard and the requirements of the Companies Act 2016 in Malaysia so as to give a true and fair view of the financial position of the Company as at 30 September 2021 and financial performance of the Company for the year ended 30 September 2021.

The Board of Directors


Kota Furuya
Director


Kazushige Minami
Director

Kuala Lumpur

16 MAR 2022

STATUTORY DECLARATION

Pursuant to Section 251 (1) (b) of the Companies Act 2016

I, Kota Furuya, the director primarily responsible for the financial management of Backstreet Innovations Sdn. Bhd., do solemnly and sincerely declare that the accompanying financial statements are, in my opinion, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act 1960.

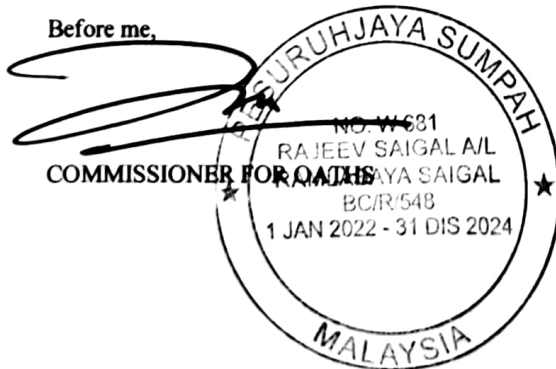
Subscribed and solemnly declared by
the above-named in Federal Territory of
Kuala Lumpur this

16 MAR 2022

)
)
)

KOTA FURUYA

Before me,



NO. A-31-11, LEVEL 31,
TOWER A, MENARA UOA BANGSAR,
NO. 5, JALAN BANGSAR UTAMA 1,
BANGSAR, 59000 KUALA LUMPUR

**REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF
BACKSTREET INNOVATIONS SDN. BHD. (Registration No.: 201801023113 (1285132-M))
(Incorporated in Malaysia)**

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Backstreet Innovations Sdn. Bhd., which comprise the statement of financial position as at 30 September 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 30 September 2021 and of its financial performance and cash flows for the year then ended in accordance with Malaysian Private Entities Reporting Standard and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ('By-Laws') and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ('IESBA Code'), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the Directors' Report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Company does not cover the Directors' Report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company our responsibility is to read the Directors' Report and, in doing so, consider whether the Directors' Report is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of the Directors' Report, we are required to report that fact. We have nothing to report in this regard.

**REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF
BACKSTREET INNOVATIONS SDN. BHD. (Registration No.: 201801023113 (1285132-M))
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Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Private Entities Reporting Standard and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

**REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF
BACKSTREET INNOVATIONS SDN. BHD. (Registration No.: 201801023113 (1285132-M))
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- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.



KALIS & CO
AF NO. 002163
Chartered Accountants



Kaliswaran Sivaraman Sinniah
Approval No. 03025/11/2023 J
Chartered Accountant

Kuala Lumpur
16 March 2022

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2021

	Note	2021 RM	2020 RM
ASSETS			
NON-CURRENT ASSET			
Property, plant and equipment	4	<u>1,286,605</u>	<u>1,754,159</u>
CURRENT ASSETS			
Inventories	5	30,518	40,642
Other receivables	6	68,706	60,978
Amounts due from related companies	7	3,393	-
Cash and bank balances	8	<u>188,560</u>	<u>979,639</u>
		<u>291,177</u>	<u>1,081,259</u>
TOTAL ASSETS		<u><u>1,577,782</u></u>	<u><u>2,835,418</u></u>
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	9	1,000,000	1,000,000
Accumulated losses		<u>(1,016,874)</u>	<u>(962,624)</u>
(CAPITAL DEFICIENCY)/SHAREHOLDERS' EQUITY		<u>(16,874)</u>	<u>37,376</u>
CURRENT LIABILITIES			
Trade payables	10	44,340	156,152
Other payables	11	115,172	129,017
Amount due to director	12	405,843	570,000
Amount due to related companies	7	529,300	358,023
Amount due to holding company	13	500,001	-
Amounts due to shareholders	14	<u>-</u>	<u>1,584,850</u>
		<u>1,594,656</u>	<u>2,798,042</u>
TOTAL LIABILITIES		<u>1,594,656</u>	<u>2,798,042</u>
TOTAL EQUITY AND LIABILITIES		<u><u>1,577,782</u></u>	<u><u>2,835,418</u></u>

The accompanying notes form an integral part of the financial statements.

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 SEPTEMBER 2021

	2021	2020
Note	RM	RM
Revenue	15	2,869,391
Direct costs		<u>(1,558,899)</u>
Gross profit		1,310,492
Other operating income		6,272
Operating expenses		<u>(1,371,014)</u>
Loss before tax	16	(54,250)
Income tax expense	17	-
Loss for the year		(54,250)
Other comprehensive income		-
Total comprehensive income for the year		<u><u>(54,250)</u></u>
		<u><u>(300,872)</u></u>

The accompanying notes form an integral part of the financial statements.

Registration No.: 201801023113 (1285132-M)

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 SEPTEMBER 2021

	Share capital RM	Accumulated losses RM	Total RM
As at 1 October 2019	1,000,000	(661,752)	338,248
Loss for the year	-	(300,872)	(300,872)
As at 30 September 2020	1,000,000	(962,624)	37,376
Loss for the year	-	(54,250)	(54,250)
As at 30 September 2021	<u>1,000,000</u>	<u>(1,016,874)</u>	<u>(16,874)</u>

The accompanying notes form an integral part of the financial statements.

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 SEPTEMBER 2021

	2021	2020
	RM	RM
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before tax	(54,250)	(300,872)
Adjustment for:		
Depreciation of property, plant and equipment	<u>508,057</u>	<u>506,127</u>
Operating profit before working capital changes	453,807	205,255
<u>Net changes in working capital:</u>		
Inventories	10,124	22,715
Receivables	(11,121)	(26,675)
Payables	<u>(1,203,386)</u>	<u>525,402</u>
Net cash flow from operating activities	<u>(750,576)</u>	<u>726,697</u>
CASH FLOWS FROM INVESTING ACTIVITY		
Purchase of property, plant and equipment	<u>(40,503)</u>	<u>(19,031)</u>
Net cash flow from investing activity	<u>(40,503)</u>	<u>(19,031)</u>
Net (decrease)/increase in cash and cash equivalents	(791,079)	707,666
Cash and cash equivalents at beginning of the year	<u>979,639</u>	<u>271,973</u>
Cash and cash equivalents at end of the year	<u><u>188,560</u></u>	<u><u>979,639</u></u>
Cash and cash equivalents comprise:		
Cash and bank balances	<u><u>188,560</u></u>	<u><u>979,639</u></u>

The accompanying notes form an integral part of the financial statements.

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 SEPTEMBER 2021**

1 GENERAL INFORMATION

The Company is a private limited company incorporated and domiciled in Malaysia.

The registered office is located at Level 7, Menara Milenium, Jalan Damanlela, Pusat Bandar Damansara, Damansara Heights, 50490 Kuala Lumpur.

The principal place of business is located at No. 8-1 & 10-1, Jalan 24/70A, Desa Sri Hartamas, 50480 Kuala Lumpur.

The principal activity of the Company is that of restaurant operations.

The holding company of the Company is Abrasus Co. Ltd., a company incorporated in Japan.

The financial statements of the Company are presented in the functional currency, which is the currency of the primary economic environment in which the entity operates. The functional currency of the Company is Ringgit Malaysia as the sales and purchases are mainly denominated in Ringgit Malaysia and receipts from operations are usually retained in Ringgit Malaysia and funds from financing activities are generated in Ringgit Malaysia.

2 SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the Malaysian Private Entities Reporting Standard ("MPERS") and the requirements of the Companies Act 2016.

The financial statements have been prepared on the historical cost basis, except for the revaluation of certain assets and liabilities.

The principal accounting policies adopted are set out below:

2.1 PROPERTY, PLANT AND EQUIPMENT

The cost of an item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. After recognition as an asset, an item of property, plant and equipment are measured at cost less any accumulated depreciation and any accumulated impairment losses.

Depreciation is provided on a straight-line method so as to write off the depreciable amount of the following assets over their estimated useful lives, as follows:

	Rate
CCTV system	20%
Computers and software	33%
Furniture and fittings	20%
Kitchen equipment	20%
Renovation	20%
Restaurant equipment	20%
Signage	20%

Depreciation of an asset begins when it is ready for its intended use.

If there is an indication of a significant change in factors affecting the residual value, useful life or asset consumption pattern since the last annual reporting date, the residual values, depreciation method and useful lives of depreciable assets are reviewed, and adjusted prospectively.

The carrying amounts of items of property, plant and equipment are derecognised on disposal or when no future economic benefits are expected from their use or disposal. Any gain or loss arising from the derecognition of items of property, plant and equipment, determined as the difference between the net disposal proceeds, if any, and the carrying amounts of the item, is recognised in profit or loss. Neither the sale proceeds nor any gain on disposal is classified as revenue.

2.2 IMPAIRMENT OF ASSETS, OTHER THAN INVENTORIES AND FINANCIAL ASSETS

At each reporting date, the Company assesses whether there is any indication that an asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated.

When there is an indication that an asset may be impaired but it is not possible to estimate the recoverable amount of the individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The recoverable amount of an asset and a cash-generating unit is the higher of the fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

If the recoverable amount of an asset or a cash-generating unit is less than the carrying amount, an impairment loss is recognised to reduce the carrying amount to its recoverable amount. An impairment loss for a cash-generating unit is firstly allocated to reduce the carrying amount of any goodwill allocated to the cash-generating unit, and then, to the other non-current assets of the unit pro rata on the basis of the carrying amount of each appropriate asset in the cash-generating unit. Impairment loss is recognised immediately in profit or loss, unless the asset is carried at a revalued amount, in which case it is treated as a revaluation decrease.

The recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell, value in use and zero.

An impairment loss recognised in prior periods for an asset or the appropriate assets of a cash-generating unit is reversed when there has been a change in the estimates used to determine the asset's recoverable amount. An impairment loss is reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised in prior periods. A reversal of an impairment loss is recognised immediately in profit or loss, unless the asset is carried at revalued amount, in which case it is treated as a revaluation increase.

2.3 FOREIGN CURRENCY

Foreign Currency ~ Foreign Currency Transactions

Transactions in foreign currencies are initially recognised in the functional currency by applying to the foreign currency amount the spot exchange rates between the functional currency and the foreign currency at the date of the transactions.

At the end of each reporting period, foreign currency monetary items are translated using the closing rate. Non-monetary items that are measured at historical cost in a foreign currency are translated using the exchange rates at the date of the transactions. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences are recognised in profit or loss in the period in which they arise except when a gain or loss on a non-monetary item is recognised in other comprehensive income. If so, any exchange differences relating to that gain or loss is recognised in other comprehensive income.

2.4 INVENTORIES

Inventories are measured at the lower of cost and estimated selling price less costs to complete and sell. Cost of inventories comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Cost of inventories is measured by using the First-in First-out method.

At each reporting date, inventories are assessed for impairment. If an item of inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss. At each subsequent reporting date, the Company makes a new assessment of selling price less costs to complete and sell. If there is any indication that an impairment loss recognised in prior periods may no longer exist or when there is clear evidence of an increase in selling price less costs to complete and sell due to changed economic circumstances, an impairment loss is reversed to the extent that the new carrying amount is the lower of the cost and the revised selling price less costs to complete and sell.

2.5 FINANCIAL ASSETS

Financial assets are recognised in the statement of financial position when the Company becomes a party to the contractual provisions of the instrument.

On initial recognition, financial assets are measured at transaction price, include transaction costs for financial assets not measured at fair value through profit or loss, unless the arrangement constitutes, in effect, a financing transaction for the counterparty to the arrangement.

After initial recognition, financial assets are classified into one of three categories: financial assets measured at fair value through profit or loss, financial assets that are debt instruments measured at amortised cost, and financial assets that are equity instruments measured at cost less impairment.

ii) Financial Assets At Fair Value Through Profit Or Loss

Financial assets are classified as at fair value through profit or loss when the financial assets are within the scope of Section 12 of the MPEERS or if the financial assets are publicly traded or their fair value can otherwise be measured reliably without undue cost or effort.

Changes in fair value are recognised in profit or loss.

If a reliable measure of fair value is no longer available for an equity instrument that is not publicly traded but is measured at fair value through profit or loss, its fair value at the last date that instrument was reliably measurable is treated as the cost of the instrument, and it is measured at this cost amount less impairment until a reliable measure of fair value becomes available.

ii) Financial Assets That Are Debt Instruments Measured At Amortised Cost

After initial recognition, debt instruments are measured at amortised cost using the effective interest method. Debt instruments that are classified as current assets are measured at the undiscounted amount of the cash or other consideration expected to be received.

Effective interest method is a method of calculating the amortised cost of financial assets and of allocating the interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimate future cash receipts through the expected life of the financial assets or, when appropriate, a shorter period, to the carrying amount of the financial assets.

iii) Financial Assets That Are Equity Instruments Measured At Cost Less Impairment

Equity instruments that are not publicly traded and whose fair value cannot otherwise be measured reliably without undue cost or effort, and contracts linked to such instruments that, if exercised, will result in delivery of such instruments, are measured at cost less impairment.

iv) Impairment Of Financial Assets

At the end of each reporting period, the Company assesses whether there is any objective evidence that financial assets that are measured at cost or amortised cost, are impaired.

Objective evidence could include:

- significant financial difficulty of the issuer; or
- a breach of contract; or
- the lender granting to the borrower a concession that the lender would not otherwise consider; or
- it becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- observable data indicating that there is a measurable decrease in the estimated future cash flows from the financial assets since the initial recognition of those assets.

For certain category of financial assets, such as trade receivables, if it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the assets are included in a group with similar credit risk characteristics and collectively assessed for impairment.

Impairment losses, in respect of financial assets measured at amortised cost, are measured as the differences between the assets' carrying amounts and the present values of their estimated cash flows discounted at the assets' original effective interest rate.

If there is objective evidence that impairment losses have been incurred on financial assets measured at cost less impairment, the amount of impairment losses are measured as the difference between the asset's carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date.

The carrying amounts of the financial assets are reduced directly, except for the carrying amounts of trade receivables which are reduced through the use of an allowance account. Any impairment loss is recognised in profit or loss immediately. If, in subsequent period, the amount of an impairment loss decreases, the previously recognised impairment losses are reversed directly, except for the amounts related to trade receivables which are reversed to write back the amount previously provided in the allowance account. The reversal is recognised in profit or loss immediately.

v) *Derecognition Of Financial Assets*

Financial assets are derecognised when the contractual rights to the cash flows from the financial assets expire, or are settled, or the Company transfers to another party substantially all of the risks and rewards of ownership of the financial assets.

On derecognition of financial assets in their entirety, the differences between the carrying amounts and the sum of the consideration received and any cumulative gains or losses are recognised in profit or loss in the period of the transfer.

2.6 CASH AND CASH EQUIVALENTS

Cash and cash equivalents in the statement of cash flows comprise cash and bank balances, short-term bank deposits and other short-term, highly liquid investments that have a short maturity of three months or less from the date of acquisition, net of bank overdrafts.

2.7 LIABILITIES AND EQUITY

i) *Classification Of Liabilities And Equity*

Financial liabilities and equity instruments are classified in accordance with the substance of the contractual arrangement, not merely its legal form, and in accordance with the definitions of a financial liability and an equity instrument.

ii) Equity Instruments

Ordinary shares are classified as equity.

Equity instruments are any contracts that evidence a residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments issued by the Company, other than those issued as part of a business combination or those accounted for in paragraph 22.15A to 22.15B, are measured at the fair value of the cash or other resources received or receivable, net of transaction costs. If payment is deferred and the time value of money is material, the initial measurement shall be on a present value basis.

The Company accounts for the transaction costs of an equity as a deduction from equity. Income tax relating to the transaction costs is accounted for in accordance with Section 29 of the MPERS.

Distributions to owners are deducted from the equity. Related income tax is accounted for in accordance with Section 29 of the MPERS.

2.8 PROVISIONS

A provision is recognised when the Company has an obligation at the reporting date as a result of a past event, it is probable that a transfer of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

The risks and uncertainties are taken into account in reaching the best estimate of a provision. When the effect of the time value of money is material, the amount recognised in respect of the provision is the present value of the expenditure expected to be required to settle the obligation.

2.9 FINANCIAL LIABILITIES

Financial liabilities are recognised in the statement of financial position when the Company becomes a party to the contractual provisions of the instrument.

On initial recognition, financial liabilities are measured at transaction price, include transaction costs for financial liabilities not measured at fair value through profit or loss, unless the arrangement constitutes, in effect, a financing transaction for the Company to the arrangement.

After initial recognition, financial liabilities are classified into one of three categories: financial liabilities measured at fair value through profit or loss, financial liabilities measured at amortised cost, or loan commitments measured at cost less impairment.

i) Financial Liabilities Measured At Fair Value Through Profit Or Loss

Financial liabilities are classified as at fair value through profit or loss when the financial liabilities are within the scope of Section 12 of the MPERS or if the financial liabilities are publicly traded or their fair value can otherwise be measured reliably without undue cost or effort.

If a reliable measure of fair value is no longer available for an equity instrument that is not publicly traded but is measured at fair value through profit or loss, its fair value at the last date that instrument was reliably measurable is treated as the cost of the instrument, and it is measured at this cost amount less impairment until a reliable measure of fair value becomes available.

ii) *Financial Liabilities Measured At Amortised Cost*

After initial recognition, financial liabilities other than financial liabilities at fair value through profit or loss are measured at amortised cost using the effective interest method. Gains or losses are recognised in profit or loss when the financial liabilities are derecognised or impaired.

Effective interest method is a method of calculating the amortised cost of financial liabilities and of allocating the interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimate future cash payments through the expected life of the financial liabilities or, when appropriate, a shorter period, to the carrying amount of the financial liabilities.

iii) *Loan Commitments Measured At Cost Less Impairment*

Commitments to receive loan that meet the conditions of Section 11 of the MPERS are measured at cost less impairment.

iv) *Derecognition Of Financial Liabilities*

Financial liabilities are derecognised when the obligation specified in the contract is discharged, cancelled or expires.

Any difference between the carrying amounts of the financial liabilities derecognised and the consideration paid is recognised in profit or loss.

2.10 REVENUE

i) *Sales Of Goods*

Revenue from sales of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer. Revenue is measured at the fair value of the consideration received or receivable, net of discounts and taxes applicable to the revenue.

ii) *Rendering Of Services*

Revenue from rendering of services is measured by reference to the stage of completion of the transaction at the reporting date.

2.11 EMPLOYMENT BENEFITS

i) *Short-Term Employment Benefits*

Short-term employment benefits, such as wages, salaries, and other benefits, are recognised at the undiscounted amount as a liability and an expense when the employees have rendered services to the Company.

The expected cost of accumulating compensated absences are recognised when the employees render services that increase their entitlement to future compensated absences. The expected cost of non-accumulating compensated absences, such as sick and medical leaves, are recognised when the absences occur.

The expected cost of accumulating compensated absences are measured at the undiscounted additional amount expected to be paid as a result of the unused entitlement that has accumulated at the end of the reporting period.

The expected cost of profit-sharing and bonus payments are recognised when the Company has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made. A present obligation exists when the Company has no realistic alternative but to make the payments.

ii) Defined Contribution Plan

Contributions payable to the defined contribution plan are recognised as a liability and an expense when the employees have rendered services to the Company.

2.12 INCOME TAX

Tax expense is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised in other comprehensive income.

Tax payable on taxable profit for current and past periods is recognised as a current tax liability to the extent unpaid. If the amount paid in respect of the current and past periods exceeds the amount payable for those periods, the excess is recognised as a current tax asset.

Current tax assets and liabilities are measured at the amounts expected to be paid or recovered, using the tax rates and laws that have been enacted or substantially enacted by the reporting date.

Current tax liabilities and assets are offset if, and only if the Company has a legally enforceable right to set off the amounts and plan either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred tax is provided in full on temporary differences which are the differences between the carrying amounts in the financial statements and the corresponding tax base of an asset or liability at the end of the reporting period.

Deferred tax liabilities are recognised for all taxable temporary differences that are expected to increase taxable profit in the future. Deferred tax assets are recognised for all deductible temporary differences that are expected to reduce taxable profit in the future and the carryforward of unused tax losses and unused tax credits.

Deferred tax liabilities and assets are not recognised in respect of the temporary differences associated with the initial recognition of an asset or a liability in a transaction that is not a business combination and at the time of the transactions, affects neither accounting profit nor taxable profit. Deferred tax liabilities are also not recognised for temporary difference associated with the initial recognition of goodwill.

Deferred tax liabilities and assets reflect the tax consequences that would follow from the manner in which the Company expects to recover or settle the carrying amounts of their assets and liabilities and are measured at the tax rates and laws that are expected to apply to the period when the asset is realised or the liability is settled, based on tax rates that have been enacted or substantially enacted by the reporting date.

3 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

3.1 CRITICAL JUDGEMENTS APPLYING THE ACCOUNTING POLICIES

There are no critical judgements and assumptions in applying accounting policies that have significant effect on the amounts recognised in the financial statements.

3.2 KEY RESOURCES OF ESTIMATION UNCERTAINTY

There are no key assumptions concerning the future and other key sources of estimation uncertainty at the end of each reporting period that have significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year.

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4 PROPERTY, PLANT AND EQUIPMENT

	As at 1 October 2020 RM	Additions RM	Disposals RM	As at 30 September 2021 RM
<u>Cost</u>				
CCTV system	10,910	-	-	10,910
Computers and software	48,289	35,719	-	84,008
Furniture and fittings	195,250	-	-	195,250
Kitchen equipment	877,621	-	-	877,621
Renovation	688,231	-	-	688,231
Restaurant equipment	659,290	4,784	-	664,074
Signage	26,516	-	-	26,516
	<u>2,506,107</u>	<u>40,503</u>	<u>-</u>	<u>2,546,610</u>

	As at 1 October 2020 RM	Charges for the year RM	Disposals RM	As at 30 September 2021 RM
<u>Accumulated Depreciation</u>				
CCTV system	3,399	2,182	-	5,581
Computers and software	22,720	15,935	-	38,655
Furniture and fittings	61,341	39,050	-	100,391
Kitchen equipment	246,979	175,524	-	422,503
Renovation	200,761	137,646	-	338,407
Restaurant equipment	209,152	132,417	-	341,569
Signage	7,596	5,303	-	12,899
	<u>751,948</u>	<u>508,057</u>	<u>-</u>	<u>1,260,005</u>

	2021 RM	2020 RM
<u>Carrying Amounts</u>		
CCTV system	5,329	7,511
Computers and software	45,353	25,569
Furniture and fittings	94,859	133,909
Kitchen equipment	455,118	630,642
Renovation	349,824	487,470
Restaurant equipment	322,505	450,138
Signage	13,617	18,920
	<u>1,286,605</u>	<u>1,754,159</u>

5 INVENTORIES

	2021 RM	2020 RM
At cost:		
Restaurant supplies	30,518	40,642

6 OTHER RECEIVABLES

	2021 RM	2020 RM
Deposits	32,200	32,200
Prepayments	7,267	11,778
Staff advances	29,239	17,000
	68,706	60,978

7 AMOUNTS DUE FROM/(TO) RELATED COMPANIES

These amounts are non-trade in nature, unsecured, interest-free and repayable on demand.

8 CASH AND BANK BALANCES

	2021 RM	2020 RM
Cash in hand	17,009	76,093
Cash at bank	171,551	903,546
	188,560	979,639

9 SHARE CAPITAL

	Number of shares			
	2021 Units	2020 Units	2021 RM	2020 RM
Issued and fully paid ordinary shares				
At beginning and end of the financial year	1,000,000	1,000,000	1,000,000	1,000,000

10 TRADE PAYABLES

The normal trade credit terms granted to the Company ranges from 30 to 90 days.

11 OTHER PAYABLES

	2021	2020
	RM	RM
Other payables	81,380	108,606
Accruals	33,792	20,411
	<u>115,172</u>	<u>129,017</u>

12 AMOUNT DUE TO DIRECTOR

This amount is non-trade in nature, unsecured, interest-free and repayable on demand.

13 AMOUNTS DUE TO HOLDING COMPANY

This amount is non-trade in nature, unsecured, interest-free and repayable on demand.

14 AMOUNTS DUE TO SHAREHOLDERS

These amounts are non-trade in nature, unsecured, interest-free and repayable on demand.

15 REVENUE

Revenue arises from restaurant operations.

16 LOSS BEFORE TAX**16.1 DISCLOSURE ITEMS**

	2021	2020
	RM	RM
This is stated after charging:		
Auditors' remuneration	8,000	8,000
Depreciation of property, plant and equipment	508,057	506,127
Directors' remuneration – non fees	110,500	89,700
Rental expenses	102,225	91,350
Staff cost (Note 16.2)	404,782	568,567
Gain on foreign exchange (realised)	<u>(252)</u>	<u>-</u>

16.2 STAFF COST

	2021 RM	2020 RM
Salaries and allowances	357,049	533,084
Staff bonus	19,000	1,100
Staff medical fees	7,095	1,602
Staff refreshment	19,782	32,781
Staff welfare	1,856	-
	<u>404,782</u>	<u>568,567</u>

16.3 KEY MANAGEMENT PERSONNEL COMPENSATION

	2021 RM	2020 RM
Total key management personnel compensation	<u>110,500</u>	<u>89,700</u>

17 INCOME TAX EXPENSE

	2021 RM	2020 RM
Current tax expense	<u>-</u>	<u>-</u>

The income tax expense is reconciled to the accounting loss at the applicable tax rate as follows:

	2021 RM	2020 RM
Loss before tax	<u>(54,250)</u>	<u>(300,872)</u>
Tax at Malaysian statutory tax rate 17% (2020: 17%)	(9,223)	(51,148)
Non-deductible expenses	59,041	88,341
Utilisation of capital allowances during the year	<u>(49,818)</u>	<u>(37,193)</u>
Total income tax expense	<u>-</u>	<u>-</u>

As at 30 September 2021, the Company has unabsorbed tax losses of RM220,821 (2020: RM399,549) and unutilised capital allowances of RM138,950 (2020: RM253,269) available to offset future taxable profits, subject to the agreement of the relevant tax authorities.

As at 30 September 2021, the Company has potential deferred tax benefits of approximately RM61,161 (2020: RM110,979) arising principally from tax losses and unabsorbed capital allowances carried forward, the effect of which is not included in the financial statements as there is no assurance beyond reasonable doubt that future taxable income will be sufficient to allow the benefits to be realised.

18 RELATED PARTY TRANSACTIONS

	2021 RM	2020 RM
Transactions with companies with common directors		
Rental charges by related company	6,000	8,100
Consultation fee	-	191,490

19 COMPARATIVE FIGURES

The Company has reclassified certain items in the previous financial year to conform with the current year's presentation in its financial statement.

20 AUTHORISATION FOR ISSUE OF THE FINANCIAL STATEMENTS

The financial statements of the Company were authorised for issue by the Board of Directors on 16 March 2022.

Registration No.: 201801023113 (1285132-M)

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 30 SEPTEMBER 2021

	2021	2020
	RM	RM
REVENUE	<u>2,869,391</u>	<u>2,951,730</u>
LESS: DIRECT COSTS		
Opening inventories	40,642	63,357
Purchases	1,488,976	1,451,434
Restaurant expenses	<u>59,799</u>	<u>63,393</u>
Less: Closing inventories	<u>1,589,417</u>	<u>1,578,184</u>
	<u>(30,518)</u>	<u>(40,642)</u>
	<u>1,558,899</u>	<u>1,537,542</u>
GROSS PROFIT	1,310,492	1,414,188
ADD: OTHER OPERATING INCOME		
Gain on foreign exchange (realised)	252	-
Government grant - PERKESO	1,200	-
Other income	<u>4,820</u>	<u>4,200</u>
	<u>6,272</u>	<u>4,200</u>
LESS: OPERATING EXPENSES	<u>(1,371,014)</u>	<u>(1,719,260)</u>
LOSS BEFORE TAX	<u><u>(54,250)</u></u>	<u><u>(300,872)</u></u>

This Statement is prepared for the purpose of the Management's use only and does not form part of the statutory audited financial statements.

BACKSTREET INNOVATIONS SDN. BHD.
(Incorporated in Malaysia)

OPERATING EXPENSES
FOR THE YEAR ENDED 30 SEPTEMBER 2021

	2021 RM	2020 RM
OPERATING EXPENSES		
Accounting fees	49,500	49,500
Advertisement	950	5,960
Auditors' remuneration	8,000	8,000
Bank charges	132	309
Consultation fee	-	191,490
Credit card charges	24,107	25,225
Depreciation of property, plant and equipment	508,057	506,127
Directors' remuneration - non fees	110,500	89,700
Electricity and water	45,402	67,162
Food delivery charges	5,441	1,450
General expenses	-	4,200
Handling fee	-	313
Insurance	3,485	3,810
Licence fee	7,580	-
Loss on foreign exchange (realised)	4,239	-
Parking fee	5,190	9,750
Penalty	200	1,000
Pest control	3,113	3,632
Petrol and toll	798	522
Printing and stationery	4,907	5,413
Professional fees	8,030	13,450
Rental expenses	102,225	91,350
Salaries and allowance	357,049	533,084
Staff medical fees	7,095	1,602
Secretarial and filing fees	6,650	8,130
SST expenses	4,829	4,987
Staff bonus	19,000	1,100
Staff refreshment	19,782	32,781
Staff welfare	1,856	-
Stamp duty	600	50
Tax fee	2,800	3,500
Telephone charges	6,907	6,040
Training fees	-	5,208
Travelling expenses	2,293	15,885
Upkeep of office	8,588	15,589
Upkeep of restaurant	41,709	12,941
	<u>1,371,014</u>	<u>1,719,260</u>

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